

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 16, Honorable Roberta S. Hayashi, Presiding

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LAW AND MOTION TENTATIVE RULINGS

To contest the ruling, call (408) 808-6856 before 4:00 P.M.

DATE: WEDNESDAY, JULY 23, 2025

TIME: 9:00 A.M.

Please Read Carefully As Some of Our Protocols Have Changed.

All Courts of California celebrate the diversity of the attorneys and the litigants who appear in our Courts. Do not hesitate to correct the Court or Court Staff concerning the pronunciation of any name or how anyone prefers to be addressed, or referred to. All persons should spell their names for the benefit of Court Staff.

Appearances.

Personal appearances in the courtroom are strongly encouraged. If you must appear remotely, you must use the MS Teams link from a device with a camera. Please "name" yourself when you log in, as: **Line #/name/party**. Remote appearances should be made from a quiet location with no background noise (and not from a moving vehicle). IT IS ABSOLUTELY NECESSARY FOR ALL INDIVIDUALS TO SPEAK SLOWLY, AND NOT TO INTERRUPT WHEN SOMEONE ELSE IS SPEAKING.

Please notify this Court immediately if the matter will not be heard on the scheduled date. **California Rules of Court**, rule 3.1304(b). If a party fails to appear at a law and motion hearing without having given notice, this Court may take the matter off calendar, to be reset only upon motion, or may rule on the matter. **California Rules of Court**, rule 3.1304(d).

This Court expects all counsel and litigants to comply with the Tentative Rulings Procedures that are outlined in Local Civil Rule 7(E) and **California Rules of Court**, rule 3.1308. If the Court has not directed argument, oral argument must be permitted only if a party notifies all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear. A party must notify all other parties by telephone or in person. A failure to timely notify this Court and/or the opposing parties may result in the tentative ruling being the final order in the matter.

A party may give notice that he or she will not appear at a law and motion hearing and submit the matter without an appearance unless this Court orders otherwise. This Court will rule on the motion as if the party had appeared. **California Rules of Court**, rule 3.1304(c).

Court Reporters.

This Court does not appoint Court Reporters in civil actions except in limited circumstances. If you wish to arrange for a private court reporter, please use Local Form #CV-5100.

No electronic recordings, video, still photography or audio capture of this live stream is allowed without the expressed, written permission of the Superior Court of California, County of Santa Clara. Use of the Court's Electronic Recording (ER) system is limited to proceedings permitted by statute or General Order of the Court. State and Local Court rules prohibit photographing or recording of court proceedings whether in the courtroom or while listening on the Public Access Line or other virtual platform, without a Court Order. See Local General Rule 2(A) and 2(B); **California Rules of Court**, rule 1.150.

Orders After Hearing

The Court will prepare the Final Order unless stated otherwise below or at the hearing. Counsel are to comply with **California Rules of Court**, rule 3.1312.

TROUBLESHOOTING TENTATIVE RULINGS

If you see last week's tentative rulings, you have checked prior to the posting of the current week's tentative rulings. You will need to either "REFRESH" or "QUIT" your browser and reopen it. If you fail to do either of these, your browser may pull up old information from old cookies even after the tentative rulings have been posted.

Tentative Rulings Are Continued Below. Full Orders Are On The Following Pages.

LINE #	CASE #	CASE TITLE	RULING
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LINE #	CASE #	CASE TITLE	RULING
LINE 1	23CV412977	Greg Kovacic vs Sharecare, Inc. et al Trial Date: 10/13/2025	Defendants' Motion for Summary Judgment is DENIED. Defendants' Motion for Summary Adjudication is GRANTED in part and DENIED in part. See Tentative Ruling below. Court to prepare Order.
LINE 2	24CV435406	Raymond Tesconi vs DARK RUN VENTURES, INC. et al Hearing on OSC re Dismissal of Action/Strike Complaint based on Failure to Appear: 7/25/2025 at 10:00 a.m.	Motion to Deem Request for Admissions Admitted is DENIED as Responses to the Requests for Admissions were served prior to hearing. Court is ordering sanctions as it is clear that only the impending hearing date on the motion prompted a response to discovery which is given several months after the motion was filed (in January 2025), and on the day before the Court posts this tentative ruling. While Plaintiff may have excuse for his tardiness or not seeking a protective order from the court to extend his time to respond to discovery, his counsel does not. Accordingly, Plaintiff's counsel shall pay sanctions in the amount of \$680 (\$500 plus filing fees for 3 motions) to the client trust account of Defendant's counsel within 30 days. Court to prepare the order.
LINE 3	24CV435406	Raymond Tesconi vs DARK RUN VENTURES, INC. et al Hearing on OSC re Dismissal of Action/Strike Complaint based on Failure to Appear: 7/25/2025 at 10:00 a.m.	Motion to Compel Answers to Interrogatories is DENIED as Responses to the Interrogatories were served prior to hearing.
LINE 4	24CV435406	Raymond Tesconi vs DARK RUN VENTURES, INC. et al Hearing on OSC re Dismissal of Action/Strike Complaint based on Failure to Appear: 7/25/2025 at 10:00 a.m.	Motion to Compel Answers to Interrogatories is DENIED as Responses to the Interrogatories were served prior to hearing.

LINE #	CASE #	CASE TITLE	RULING
LINE 5	23CV417705	THE HEIGHTS RESIDENCE, LLC vs VICTORIA SOBOLEVA et al (also set for CMC at 10:00 a.m.)	Defendant U.S. Bank N.A.'s Motion to file a Cross-Complaint is GRANTED. Plaintiff has sued for monetary damages, as well as for quiet title. There is currently no trial date, and it appears to be in the best interests of justice that any cross-complaints be tried jointly with Plaintiff's underlying claims for fraud damages. The Court has been presented with no evidence of imminent harm and this motion is granted without prejudice to any properly noticed motion Plaintiff may make in the future to bifurcate its equitable claims for quiet title/declaratory relief from the other claims and cross-claims in the action. Moving Party to prepare order. Defendant U.S. Bank N.A. shall files its Cross-Complaint in not more than five (5) days from today's hearing and move diligently forward with service of the Cross-Defendants. Case Management Conference is continued to October 29, 2025 at 10 a.m. in Dept. 16. Defendant U.S. Bank N.A. shall give notice to Cross-Defendants of this date and time when they are served.
LINE 6	23CV419008	Dani Dvir vs YAVNEH DAY SCHOOL et al Settlement Status/Dismissal: 9/19/2025	Petition for Approval of Minor's Compromise must be submitted on Judicial Council Form MC-350 or MC-350ex (for expedited review). Court has the proposed order submitted on Form MC-351 which incorrectly states the petition was heard on June 6, 2025, but there is no MC-350 on file. Matter will be off-calendar, or Plaintiff's counsel may appear and request a continued date which will be special set.
LINE 7			
LINE 8			

Calendar Line 1

23CV412977

Greg Kovacic v. Sharecare, Inc. et al.

Defendant's Motion for Summary Judgment or in the alternative Summary Adjudication is GRANTED IN PART and DENIED IN PART.

Factual Background.

Plaintiff Greg Kovacic ("Plaintiff" or "Kovacic") was the Chief Financial Officer for Defendant doc.ai ("doc.ai.") from October 1, 2018 until February 22, 2021 when doc.ai was purchased by Sharecare, Inc. ("Sharecare") pursuant to a merger agreement dated January 25, 2021. (Second Amended Complaint ["SAC"] at ¶ 1.) Plaintiff alleges that pursuant to his prior written employment contract with doc.ai, his stock options became fully vested as part of the transaction. (SAC at ¶ 11.) Plaintiff maintains Sharecare was obligated to pay him \$3,483,477.68 in exchange for his doc.ai shares from the accelerated vesting at the close of the transaction. (*Ibid.*) Plaintiff further alleges that during the negotiations for the purchase of doc.ai, Sharecare's Chief Financial Officer, Defendant Justin Ferrero ("Ferrero") traveled to Palo, Alto, California in December 2020 and made representations to Plaintiff and promised him future equity and employment post-merger, in exchange for the immediate payout of \$3,483,447. (SAC at ¶ 1.)

Additionally, as part of the transaction, Plaintiff alleges Sharecare and Ferrero identified key employees, including Plaintiff, that were required to sign employment contracts, a waiver of his doc.ai acceleration provision, lockup agreement, and restrictive covenant agreement with a non-compete clause as a condition precedent to the merger. (SAC at ¶ 12.) Plaintiff alleges that he signed these agreements in reliance on the assurances that he would be employed at Sharecare pursuant to the terms of the employment agreement signed on January 25, 2021, "thereby sacrificing an immediate payment of \$3,483,477.68 in return for future equity and the benefits of an Employment Contract with Sharecare." (*Id.* at ¶ 13.)

With respect to the employment agreement, Plaintiff alleges that the parties agreed to its terms in final form on January 25, 2021 and attaches a true and correct copy of the agreement to his Second Amended Complaint ("SAC"). (SAC at ¶ 15, Exhibit A.) The agreement includes employment for four years at a salary of \$400,000 per year. (SAC at ¶ 15.) The agreement includes provisions for termination with cause and without cause. (SAC, Exhibit A.) The agreement permits terminations for cause if an employee fails to perform the duties of his or her position or fails to follow the directives of the individual to whom he or she reports upon 15 days' notice to cure such conduct. (*Ibid.*) The agreement provides severance and the fulfillment of certain obligations toward benefits for terminations without cause. (*Ibid.*)

Plaintiff alleges that Sharecare and Ferrero made the promises before the merger, that they did not intend to perform under the terms of the employment contract and only included him among the key employees to have him sign the waiver agreement and avoid paying the promised \$3,483,447.68. (SAC at ¶ 14.) Plaintiff alleges the representations made were false as he was terminated eighteen months later for cause even though no actual cause existed. (*Id.* at ¶ 15.) Plaintiff further alleges he was not provided with written notice for his termination in breach of the employment agreement. (*Ibid.*) Instead, on February 28, 2022, he received a phone call from Sharecare's Chief Scientific Officer and previous doc.ai Chairman, Walter de Brouwer that per the CEO Jeff Arnold and CFO Justin Ferrero, he was being terminated for cause. (*Id.* at ¶ 19.)

The purported basis for Plaintiff's termination with cause was that he was engaged in "outside activities" without the approval of the company. (SAC at ¶ 19.) Plaintiff alleges that

Sharecare and Ferrero were expressly informed prior to the merger on January 25, 2021 that Plaintiff intended to continue outside activities with two corporate entities, Hammer of the Gods, Inc. (“HOT-G”) and XY.Health,Inc. (“XY”), subsequent to his commencing employment with Sharecare. (Id. at ¶ 10.) Plaintiff alleges the outside activities were disclosed to the Company in a Disclosure Letter attached to the Merger Agreement and that Ferrero had explicitly approved Plaintiff’s outside activity with Snowcrash, Inc. in writing on July 16, 2021. (Id. at ¶ 16.) Plaintiff alleges “[n]either Sharecare nor Justin Ferrero raised an objection to Mr. Kovacic’s intent to continue working with these two entities.” (Id. at ¶ 10.) Plaintiff maintains these outside activities were included in “Exhibit A” to the final version of the employment agreement signed by him on January 25, 2021 and sent to him on February 8, 2021. (Id. at ¶ 15.)

However, Plaintiff alleges that in February 2021, Defendants prepared a modified or amended version of the employment agreement without Plaintiff’s knowledge that excluding his “outside activities” as memorialized through “Exhibit A” to the January 25, 2021 version of the agreement, and attached the signature page signed by Plaintiff on January 25, 2021 without his knowledge or consent. (SAC at ¶ 16.) Plaintiff further alleges that he did not become aware of the modified version of the employment contract until June 2022. (Ibid.): The crux of Plaintiff’s allegations are as follows:

In or about June of 2022, Defendants provided Mr. Kovacic the revised or modified version of the Employment Contract purportedly dated February 22, 2021, which does not include the negotiated language regarding outside activities despite the fact that this language was contained in the version of the contract agreed to and signed by Mr. Kovacic. The Defendants intentionally substituted the modified form of the Employment Contract, claiming it to be the only valid and legal version of the Employment Contract, to justify its planned termination of Mr. Kovacic for “Cause.” The attachment of Mr. Kovacic’s signature page (signed on January 25, 2021) to the modified form of the Employment Contract, which Mr. Kovacic did not see and never agreed to, constitutes forgery and is an additional fraudulent act by the Defendants.

(Ibid., p. 9:6-15.)

Plaintiff alleges he wrote to the company to address the discrepancy between the two agreements, but that he was still terminated for cause. (SAC at ¶ 19.)

Plaintiff alleges he was also granted 355,578 Sharecare options pursuant to the terms of an equity stock option award agreement dated March 11, 2021 that would vest only upon termination without cause and may be exercised for seven years after the date of termination. (SAC at ¶ 17.) Plaintiff alleges he holds 334,304 fully vested Sharecare options which were converted from his doc.ai options at the time of the transaction, which became fully vested upon completion of the transaction. (Id. at ¶ 22.) However, pursuant to the lockup agreement, Plaintiff is prevented from selling more than 25% a year. (Ibid.) Plaintiff alleges “[b]ecause the Company did not intend to employ Mr. Kovacic for the entirety of the Term of the Employment Agreement, this Lockup Agreement was procured by fraud and the Company should be equitably estopped from enforcing the terms of the Lockup Agreement.” (Ibid.)

Plaintiff sued on March 10, 2023 and filed the operative Second Amended Complaint (“SAC”) on December 14, 2023 alleging the following causes of action: (1) breach of employment contract against Sharecare; (2) breach of equity stock option award agreement contract against Sharecare; (3) breach of the duty of good faith and fair dealing against Sharecare; (4) intentional misrepresentation against Sharecare; (5) false promise against

Sharecare; (6) negligence against doc.ai; (7) breach of contract against doc.ai; (8) rescission against Sharecare and doc.ai; and (9) equitable estoppel/declaratory relief against Sharecare

Defendants Sharecare, Ferrero, and doc.ai (collectively “Defendants”) filed the instant Motion for Summary Judgment or in the alternative Motion for Summary Adjudication on January 29, 2025. Plaintiff filed his opposition on June 20, 2025. Defendants filed their reply on July 11, 2025.

Preliminary Matters.

Defendants object to the Declaration of Greg Kovacic (“Kovacic Declaration”) and the Declaration of Michael Ackerman (“Ackerman Declaration”). Defendants object to paragraphs 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, and Exhibit C to the Kovacic Declaration. The Court has only relied on paragraph 6 of the Kovacic Declaration and considers it below. However, the Court has not relied on the remaining paragraphs of the Kovacic Declaration and does not consider them material to the resolution of this motion. Accordingly, the Court declines to rule on them. (See Code Civ. Proc. § 437c, subd. (q).)

With respect to paragraph 6 of the Kovacic Declaration, the Court relies on lines 9-13 on page 4, but not lines 17-20, which it declines to consider. Paragraph 6, lines 9-13 on page 4 provides: “‘I responded via email as follows: ‘I don’t see my roles for Exhibit A: CFO at XY.Health Inc. CFO at Hammer of the Gods Inc. Please add before attaching my signature page.’ Ms. Allen responded via email by asking if I could add ‘that detail.’ I responded via email that I couldn’t because the DocuSign I was sent was only for the signature pages so she was going to have to update the agreement. She responded via e-mail: ‘We will add to Exhibit A.’”

Defendants objects on the grounds that this constitutes improper testimony as to the contents of a document (Secondary Evidence Rule) under Evidence Code section 1523 and is hearsay pursuant to Evidence Code section 1200. Evidence Code section 1523, subdivision (a) provides that oral testimony is not admissible to prove the content of a writing. However, besides the fact that Kovacic’s declaration is not oral testimony and he relies on an e-mail to prove the contents of the January 25, 2021 employment agreement, subdivision (a) is subject to various exceptions within the statute itself. Subdivision (d) provides, “[o]ral testimony of the content of a writing is not made inadmissible by subdivision (a) if the writing consists of numerous accounts or other writings that cannot be examined in court without great loss of time, and the evidence sought from them is only the general result of the whole.” Here, the parties have submitted numerous copies and versions of the agreement with respect to each of the key employees, such that they cannot be examined in court without great loss of time. The evidence sought from the Kovacic Declaration and corresponding exhibit, which Defendants have not objected to, generally conveys that he expected “Exhibit A” to be attached to his employment agreement and communicated this fact to Natasha Allen from L2 Counsel on behalf of doc.ai. Furthermore, Kovacic’s assertions here are a contemporaneous statement or exception to the hearsay rule pursuant to Evidence Code section 1241. In his declaration, Kovacic quotes his e-mail exactly as it was written at the time that it was sent. Therefore, the Court **OVERRULES** Defendant’s Objection No. 12 to paragraph 6, lines 9-13 of the Kovacic Declaration.

As for the Ackerman Declaration, Defendants object to the inclusion of Exhibit A and Exhibit B on the grounds that it is incomplete and mischaracterizes deposition testimony. Defendants refer to deposition testimony cited in the Declaration of Kelly Perigoe but do not cite the specific portions as they are referenced in Exhibits A and B to the Ackerman Declaration. Defendants have not set forth the objectionable material pursuant to California Rules of Court rule 3.1354. The Court need only rule on objections that are in proper form. (*Vineyard v. Spring Estates v. Super. Ct.* (2004) 120 Cal.App.4th 633, 542 [“When evidentiary

objections are in proper form, a trial court must rule on the objections.”). Likewise, the Court declines to rule on these objections. (See Code Civ. Proc. § 437c, subd. (q).)

Plaintiff objects to the factual contention that attaching an electronic signature page to a document that a party never authorized is consistent with custom and practice in mergers and acquisitions. The Court has not relied on this contention because as noted below, Plaintiff’s inclusion of outside activities was a material term to the employment agreement and he was not alerted to the amended agreement until he was terminated. Several triable issues of fact exist in this regard. The Court does not find Plaintiff’s objections material to the motion and does not rule on them. (See Code Civ. Proc. § 437c, subd. (q).)

Applicable law.

The pleadings limit the issues presented for summary judgment or adjudication and such a motion may not be granted or denied based on issues not raised by the pleadings. (See *Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258; *Nieto v. Blue Shield of Calif. Life & Health Ins.* (2010) 181 Cal.App.4th 60, 73 (*Nieto*) [“the pleadings determine the scope of relevant issues on a summary judgment motion.”].)

The moving party bears the initial burden of production to make a prima facie showing that there are no triable issues of material fact. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850 (*Aguilar*).) A motion for summary judgment or adjudication shall be granted only if it completely disposes of an entire cause of action, an affirmative defense, a claim for damages, or an “issue of duty.” (See Code Civ. Proc., § 437c, subd. (f)(1); *McClasky v. California State Auto. Ass’n* (2010) 189 Cal.App.4th 947, 975 [“If a cause of action is not shown to be barred in its entirety, no order for summary judgment—or adjudication—can be entered.”]; *Palm Spring Villas II Homeowners Association, Inc. v. Parth* (2016) 248 Cal.App.4th 268, 288.) Summary adjudication of general “issues” or of facts is not permitted. (See *Raghavan v. The Boeing Company* (2005) 133 Cal.App.4th 1120, 1136.) Code of Civil Procedure section 437c, subdivision (t) makes clear that the only means by which a party may seek summary adjudication of only part of a cause of action or of an issue other than an “issue of duty” is by submitting a joint stipulation of the parties to the court, specifying the issue or issues to be adjudicated which the court must then approve before the motion can be filed.

While the same standards of admissibility govern both, the opposition declarations are liberally construed while the moving party’s evidence is strictly scrutinized. (*Saelzler v. Advanced Group 400* (2001) 25 Cal.4th 763, 768.) The evidence must be liberally construed in support of the opposing party, resolving any doubts in favor of that party. (*Yanowitz v. L’Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1037 (*Yanowitz*).) “Where a declaration submitted in opposition to a motion for summary judgment clearly contradicts the declarant’s earlier deposition testimony or discovery responses, the trial court may fairly disregard the declaration and ‘conclude there is no substantial evidence of the existence of a triable issue of fact.’” (*Whitmire v. Ingersoll-Rand Co.* (2010) 184 Cal.App.4th 1078, 1087.)

The Court DENIES summary adjudication of the contract claims against Sharecare.

Plaintiff raises three contract claims against Sharecare: (1) the first cause of action for breach of the employment contract; (2) the second cause of action for breach of the equity stock option award agreement; and (3) breach of the covenant of good faith and fair dealing. Each of these causes of actions are premised upon the same set of facts set forth in the SAC.

These facts include that a material term of the January 25, 2021 agreement was that he would be permitted to engage in outside activities, and that he was promised severance and acceleration upon termination pursuant to the contract. (SAC at ¶¶ 25, 29.) Plaintiff alleges Sharecare interfered with his right to receive these benefits under the contracts by intentionally creating a modified or amended version of the employment contract on February 22, 2021,

which he never saw or agreed to. (Id. at ¶ 35.) Plaintiff alleges Sharecare breached the employment contract by firing him for engaging in activities explicitly permitted by the contract, failing to provide written notice and an opportunity to cure, manufacturing false grounds for cause, and refusing to pay him the severance required by the contract. (Id. at ¶¶ 26, 30.)

Sharecare argues it is undisputed that Plaintiff's potential engagement in outside activities was a material term of the employment agreement. (Motion for Summary Judgment/Adjudication ["MSJ/MSA"] at p. 14:13-17.) Since, according to Sharecare, there was no meeting of the minds as to whether Plaintiff could engage in outside activities, a valid employment agreement, therefore, does not exist. (MSJ/MSA at p. 15:1-2.) Defendants argue breach of the equity stock option award agreement and the breach of the covenant of good faith and fair dealing likewise fail because the allegations of breach here are tied to the obligations of the employment agreement. (MSJ/MSA at pp. 15:3-16:7.)

In opposition, Plaintiff focuses his argument on the alleged fraud and forgery committed by Defendants and couches his analysis of each claim within this framework. While Plaintiff agrees that his ability to engage in outside activities was a material term of the contract, he contends that the employment agreement that he signed permitted him to engage in outside activities, and that the employment agreement was unilaterally changed without his knowledge or consent. (Opposition at pp. 13:16-18:27.) Plaintiff responds that the failure to have a meeting of the minds was not the result of a misunderstanding or mistake. (Id. at pp. 1:24-2:11.)

The elements for breach of contract include (a) the existence of a contract; (b) plaintiff's performance or excuse for nonperformance; (c) defendant's breach; and (d) damage to plaintiff. (4 Witkin, California Procedure (4th ed. 1997) Pleading, § 482, p. 574; *Roth v. Malson* (1998) 67 Cal.App.4th 552, 557.) "When trying to prove the existence of an oral contract the words the offeror uttered in making the offer clearly are admissible as nonhearsay to prove an essential element of the contract." (*People v. Dell* (1991) 232 Cal.App.3d 248, 261 [citing 1 Witkin, Cal. Evidence (3d ed. 1986) § 589, p. 562 (internal citations and quotations omitted)].)

"Contract formation requires mutual consent, which cannot exist unless the parties 'agree upon the same thing in the same sense.'" (*Bustamente v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 208 [citing Civ. Code § 1580].) "Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings." (*Alexander v. Codemasters Group Limited* (2002) 104 Cal.App.4th 129, 141.)

"Under California law, a contract will be enforced if it is sufficiently definite (and this is a question of law) for the court to ascertain the parties' obligations and to determine whether those obligations have been performed or breached." (*Ersa Grae Corp. v. Fluor Corp.* (1991) 1 Cal.App.4th 613, 623.) "Where a contract is so uncertain and indefinite that the intention of the parties in material particulars cannot be ascertained, the contract is void and unenforceable." (*Cal. Lettuce Growers v. Union Sugar Co.* (1955) 45 Cal.2d 474, 481.)

An implied covenant of good faith and fair dealing is implied by law in all contracts. "Broadly stated, the covenant requires that neither party do anything to deprive the other of the benefits of the agreement." (*Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 683-684) "In the employment context, the implied covenant prevents the employer from frustrating the employee's enjoyment of rights provided by the contract, including the right to continued employment absent good cause for discharge." (Chin, Cathcart, Exelrod & Wiseman, CAL. PRAC. GUIDE: EMPLOYMENT LITIGATION (The Rutter Group 2005) ¶4:331, p. 4-35 citing *Kuhn v. Department of General Services* (1994) 22 Cal.App.4th 1627, 1638.) "Before

the implied covenant comes into play, it must be shown that the employer promised the benefits sought by the employee. Thus, where the employer is claimed to have breached the implied covenant by terminating the employee without cause, the employee must prove that the employer expressly or impliedly promised not to do so.” (*Id.* at ¶4:332, p. 4-35 citing *Pugh v. See’s Candies, Inc.* (1981) 116 Cal.App.3d 311, 329 [overruled on other grounds by *Guz, supra*, 24 Cal.4th 317.])

It is undisputed that the January 25, 2021 merger agreement between doc.ai and Sharecare (effective February 22, 2021) provided that Kovacic would enter into an employment agreement with Sharecare. (Separate Statement of Undisputed Material Facts [“SSUMF”] Nos. 1, 10, 19.) It is also undisputed that a material term of the employment agreement was whether Kovacic would be permitted to engage in certain outside activities while employed by Sharecare. (SSUMF Nos. 2, 11, 20.) Kovacic further testified that he would not have signed an employment agreement with Sharecare if he did not have the right to engage in outside activities. (SSUMF Nos. 3, 12, 21; Declaration of Kelly Perigoe [“Perigoe Decl.”], Volume 1, Exhibit 3: Deposition of Greg Kovacic [“Kovacic Depo”] at p. 103:9-12; SAC ¶ 5; Declaration of Michael G. Ackerman [“Ackerman Decl.”], Volume 6, Exhibit C: Excerpts of the deposition of Greg Kovacic taken May 22, 2024.) On the other hand, Ferrero on behalf of Sharecare testified that Sharecare would not have agreed to an employment agreement permitting Kovacic to engage in outside activities. (Perigoe Decl., Volume 1, Exhibit 2: Deposition of Justin Ferrero [“Ferrero Depo.”] at pp. 98:5-102:9.) However, Ferrero also testified that he permitted Plaintiff’s involvement in Snowcrash, Inc., thus creating a triable issue as to whether the parties had an understanding as to Plaintiff’s involvement in outside activities. (*Id.* at pp. 98:23-99:4.)

It remains disputed as to which version of the agreement Kovacic agreed to. Kovacic maintains the version of the agreement he assented to permitted him to engage in outside activities. The parties submit an e-mail from Sharecare’s counsel, Mr. Anderson on January 25, 2021 attaching the “Form of Post-Closing Employment Agreement” including the clause permitting the continuance of outside activities. (Ackerman Decl., Volume 2, Exhibit 13: E-mail with Attachments from J. Anderson to L. Lehot, N. Allen and W. De Brouwer dated 1/25/21; Perigoe Decl., Volume 1: Deposition of John Anderson [“Anderson Depo.”] at pp. 70:24-72:19, Exhibit 13.) Therein, Mr. Anderson requests confirmation as to whether the documents are final. (*Ibid.*) However, the “Form of Post-Closing Employment Agreement” only includes an “Exhibit A” attachment for Walter de Brouwer but no other key employees. (*Ibid.*) Sharecare posits that its intention was to only allow Walter de Brouwer to engage in outside activities, and that this “Form of Post-Closing Agreement” reflects this intention. However, Kovacic also submits an e-mail thread from Natasha Allen (“Ms. Allen”) from L2 Counsel on behalf of doc.ai wherein he specifically requests that “Exhibit A” memorializing his list of outside activities be included with the employment agreement before adding his signature. (Declaration of Greg Kovacic [“Kovacic Decl.”] at ¶ 6, Exhibits E, F: January 25, 2021 e-mails between Greg Kovacic and Natasha Allen.) Ms. Allen confirms that she will add “Exhibit A” to the employment agreement. (*Ibid.*) The e-mail thread is also dated January 25, 2021. (*Ibid.*)

There are subsequent e-mails sent from Ms. Allen to John Anderson (“Mr. Anderson”) of King & Spalding, counsel for Sharecare, attaching the “Exhibit A” or list of outside activities for each of the key employees, which included Plaintiff. (Ackerman Decl., Volume 4: Exhibit A – “Exhibit 17”: E-mail with Exhibit A Attachment from N. Allen to J. Anderson dated 1/26/21.) Mr. Anderson states that although he is included on that e-mail, he does not recall specifically receiving or looking at “Exhibit A.” (Perigoe Decl., Volume 1: Anderson Depo. at pp. 92:10-93:16, 94:1-5, Exhibit 17.) The parties submit both versions of the agreement as evidence including “Exhibit A” for each of the key employees, as well as the February 22, 2021 version of the agreement excluding the list of outside activities for each of the key employees save for Water de Brouwer. Even if there were later comments between doc.ai, L2 Counsel, and Sharecare revising the agreements to remove the list of outside

activities, Ferrero does not dispute that his signature was on the agreement dated January 25, 2021 and he testified as to what he would have done as to “Exhibit A,” not what he actually did. (Perigoe Decl., Volume 1, Exhibit 2: Deposition of Justin Ferrero [“Ferrero Depo.”] at pp. 98:5-102:9.) Moreover, it is undisputed that Kovacic “never saw or consented” the version of the employment agreement that did not permit him to engage in outside activities while employed at Sharecare. (SSUMF Nos. 6, 15, 24; Additional Undisputed Material Facts [“AUMF”] No. 123.)

Based on the Court’s review of the evidence, triable issues of fact exist as to whether there was mutual assent between the parties on the issue of Plaintiff’s participation of outside activities, which outside activities were permitted, which version of the contract they both agreed to, and if there was a failure of the meeting of the minds, whether an agreement exists in the first place. As the evidence is disputed, the existence of a contract remains an issue for the jury. If the employment agreement is proven to exist, then there remains a triable issue of fact as to whether Plaintiff’s participation in the specific outside activities cited by Defendants constitutes “cause” for termination. Likewise, breach of the equity stock option award agreement is contingent on whether an employment contract existed as is the breach of the covenant of good faith and fair dealing. (SSUMF No. 9.)

Accordingly, the Court DENIES summary adjudication of the first through third causes of action for breach of the employment contract, breach of the equity stock option award agreement, and breach of the covenant of good faith and fair dealing.

The Court DENIES summary adjudication of Plaintiff’s tort claims against Sharecare.

Plaintiff’s fourth and fifth causes of action are for intentional misrepresentation and false promise. These causes of action are premised on Plaintiff’s contention that he was fraudulently induced into signing the employment agreement. (SAC at ¶¶ 37, 46-48.) Plaintiff alleges Defendants made various false promises or misrepresentations including but not limited to assurances that he could engage in outside activities, that he would be a “key employee” at Sharecare, and that he would receive severance and equity upon termination. (Ibid.) Plaintiff alleges that he had foregone the immediate payment for his doc.ai equity in return for promises of future equity and employment after the merger. (SAC at ¶¶ 40, 47.) Plaintiff alleges that Defendants induced him into signing the employment agreement to complete the merger, and that they never intended to fulfill the contractual promises made to him. (Id. at ¶¶ 30, 46.)

Plaintiff further argues Sharecare initially provided a version of the employment agreement permitting outside activities that he signed and which was held in escrow, only to be replaced with an altered agreement affixed with his signature without his knowledge or consent. (Opposition at p. 15:1-10.) Plaintiff argues Sharecare “fraudulently placed these altered documents in the binder of the final merger documents labeling them as the ‘Executed Version’ of the employment agreements.” (Id. at p. 15:24-26.) Plaintiff maintains these acts not only constitute fraud, but also forgery. (Id. at pp. 15:27-16:8.)

Sharecare argues the alleged misrepresentations identified by Plaintiff are merely predictions of future events, which are not actionable under the law. (MSJ/MSA at pp. 21:18-22:15.) To the extent the alleged misrepresentations are based on the terms of Plaintiff’s employment, Sharecare argues Plaintiff cannot prove that any such misrepresentation in fact occurred. (Id. at p. 22:18-26.) Sharecare also argues Plaintiff cannot prove justifiable reliance as he was skeptical that Sharecare’s stock would increase in value. (Id. at pp. 22:27-23:16.) Sharecare argues the false promise cause of action fails for similar reasons as Plaintiff cannot prove Sharecare made a false promise or that Plaintiff reasonably relied on any such promise. (Id. at p. 23:17-24:1.)

Sharecare also dedicates significant discussion to the fact that Plaintiff has not suffered any injury or damage in equity through the executed waiver because he could not have and

would not have exercised his accelerated options anyway. (MSJ/MSA at pp. 16:22-21-2.) Sharecare argues that even if his unvested options accelerated as a result of the merger, they were converted into Sharecare options subject to a lockup agreement. (Ibid.) Furthermore, Sharecare highlights Plaintiff's testimony that he would not have exercised his options in any case and there is no evidence Sharecare would have agreed to purchase his doc.ai shares. (Ibid.)

The elements of fraud are: (1) misrepresentation; (2) knowledge of falsity (or "scienter"); (3) intent to defraud, i.e., to induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173.)

"'Promissory fraud' is a species of fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. An action for promissory fraud may lie where a defendant induces the plaintiff to enter into a contract.'" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal 4th 951, 973-974. See also CACI 1902 [False Promise].)

As noted above, Plaintiff has identified the misrepresentations as the promises that he would be a key employee, could engage in outside activities, and would receive severance as well as equity upon termination. The evidence supports that Plaintiff was considered a key employee of doc.ai, among five other employees. (Perigo Decl., Volume 1, Exhibit 3: Kovacic Depo. at pp. 43:2-45:16, 46:10-47:5, 50:11-51:7, 55:21-58:17.) Although Plaintiff initially signed a version of the agreement permitting him to engage in outside activities, he later discovered that this was restricted by a later version of the agreement he was not alerted to. His involvement with outside activities became the basis for his termination with cause, even though he did not have knowledge of or consent to the alteration of the agreement.

Plaintiff argues the use of his signature on the altered version of the agreement without his permission constitutes fraud pursuant to California Penal Code section 470. (Opposition at pp. 15:27-16:28.) "The crime of forgery consists either in the false making or alteration of a document without authority or the uttering (making use) of such a document with intent to defraud." (Cal. Pen. Code § 470.) While Plaintiff refers to the act of forgery in his pleadings, California Penal Code section 470 is not alleged as a separate cause of action. Nevertheless, the fact that Plaintiff's signature was used on the altered version of the agreement without his knowledge or consent and without any communication of the altered terms, presents evidence supporting the existence of a triable issue of fact as to the intent to defraud.

The evidence also shows that Plaintiff relied on the representation that he could engage in outside activities. Sharecare terminated Plaintiff with cause because he purportedly engaged in outside activities.

Moreover, contrary to Sharecare's assertions, triable issues of fact exist with regard to Plaintiff's resulting damages. To the extent Sharecare argues that Plaintiff signed a waiver of his rights to doc.ai options before the merger, it appears that waiver pertained to the double-trigger acceleration of options provided by the December 20, 2018 grant. (SSUMF Nos. 28.) Sharecare notes the December 20, 2018 grant was superseded by the November 30, 2020 board consent, subjecting Plaintiff's options to single-trigger acceleration. (SSUMF Nos. 29.) Thus, a triable issue of fact remains as to whether Plaintiff could have exercised his options pursuant to single-trigger acceleration, which was not the subject of the waiver he signed before the merger. Plaintiff testified that he would not have signed the employment agreement with Sharecare unless it permitted him to engage in outside activities. (SSUMF No. 3; Perigo Decl., Volume 1, Exhibit 3: Kovacic Depo. at p. 103:9-12; SAC ¶ 5; Ackerman Decl., Volume 6, Exhibit C: Excerpts of the deposition of Greg Kovacic taken May 22, 2024.) Therefore, Plaintiff contends that if presented with a truthful representation of his post-merger employment officer, Plaintiff may have chosen to exercise his options upon termination, even

if he was skeptical of the stock's value. The purported recovery Plaintiff seeks to recover includes restoration of his options prior to the merger, and therefore, prior to the lockup agreement.

Regardless, even if Plaintiff cannot establish damages based on the loss of equity, triable issues of material fact remain as to the damages he sustained injury because he was denied severance. Plaintiff accepted employment on the alleged misrepresentation that he could engage in outside activities. Should a jury find that a contract existed permitting Plaintiff to engage in outside activities and that Sharecare breached the agreement by terminating him for cause, triable issues would also exist as to whether Plaintiff suffered injury because he was denied severance.

Accordingly, since triable issues of fact exist as to each element of the claims, the Court DENIES summary adjudication of the fourth cause of action for intentional misrepresentation and fifth cause of action for false promise.

The Court GRANTS summary adjudication of the sixth cause of action for negligence against doc.ai.

Plaintiff's sixth cause of action is for negligence. Plaintiff sues doc.ai as the principal for the acts of its attorney, Louis Lehot ("Mr. Lehot") on behalf of L2 Counsel. (SAC at ¶¶ 54-56.) Doc.ai argues that neither it nor its counsel, L2 Counsel, owed Plaintiff a legal duty because a company does not owe fiduciary duties to its employees during a negotiation. (MSJ/MSA at pp. 25:5-26:4.) Plaintiff responds that L2 Counsel was the agent for doc.ai and in this capacity failed to transmit "Exhibit A" listing his outside activities even though it held the agreement and his signature in escrow upon completion of the merger. (Opposition at pp. 19:1-20:16.)

"An action in negligence requires a showing that the defendant owed the plaintiff a legal duty, that the defendant breached the duty, and that the breach was a proximate or legal cause of injuries suffered by the plaintiff." (*Ann M. v. Pacific Plaza Shopping Center* (1993) 6 Cal.4th 666, 673; *Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917; see also CACI, No. 400.) Whether a duty of care exists is a question of law for the Court. (*Id.*) "The issue of whether a legal duty exists is an issue of law, not an issue of fact for the jury." (*Kentucky Fried Chicken of California, Inc. v. Superior Court* (1997) 14 Cal.4th 814, 819.)

Plaintiff's negligence claim is premised on the actions of L2 Counsel on behalf of doc.ai. "[T]he general rule is that the negligent acts or omissions of an attorney are imputed to the client under the law of agency." (*San Bernardino Cmty. Hosp. v. Workers' Comp. Appeals Bd.* (1999) 74 Cal.App.4th 928, 937 (*San Bernardino*) [citing *Carroll v. Abbott Laboratories, Inc.* (1982) 32 Cal.3d 892, 895 (*Carroll*)].) Thus, the acts of L2 Counsel can be imputed to doc.ai through agency principles. Plaintiff's primary allegations in this regard, however, are that L2 Counsel failed to perform its duties as the escrow holder of his signature to the employment agreement dated January 25, 2021. Plaintiff alleges L2 Counsel failed to transmit the agreement with his corresponding "Exhibit A" listing his outside employment activities to Sharecare.

The duties of an escrow holder are limited to the obligation to carry out the instructions of each of the parties to the escrow.

"An escrow involves the deposit of documents and/or money with a third party to be delivered on the occurrence of some condition." [Citations.] An escrow holder is an agent and fiduciary of the parties to the escrow. [Citations.] The agency created by the escrow is limited—limited to the obligation of the escrow holder to carry out the instructions of each of the parties

to the escrow. [Citations.] If the escrow holder fails to carry out an instruction it has contracted to perform, the injured party has a cause of action for breach of contract. [Citation.]

In delimiting the scope of an escrow holder's fiduciary duties, then, we start from the principle that "[a]n escrow holder must comply strictly with the instructions of the parties. [Citations.]" [Citation.] On the other hand, an escrow holder "has no general duty to police the affairs of its depositors"; rather, an escrow holder's obligations are "limited to faithful compliance with [the depositors'] instructions." [Citations.] Absent clear evidence of fraud, an escrow holder's obligations are limited to compliance with the parties' instructions. [Citations.]

(*Summit Financial Holdings, Ltd. v. Continental Lawyers Title Co.* (2002) 27 Cal.4th 705, 711.)

These rules "continue[] to apply when the escrow holder in question is an attorney." (*Virtanen v. O'Connell* (2006) 140 Cal.App.4th 688, 703 [citing *Wasmann v. Seidenberg* (1988) 202 Cal.App.3d 752, 756 (*Wasmann*)].) "[N]egligent performance by an escrow holder creates liability in tort for breach of duty." (*Wasmann, supra*, 202 Cal.App.3d at p. 756 [citing *Claussen v. First American Title Guaranty Co.* (1986) 186 Cal.App.3d 429, 435 (*Claussen*)].)

Here, the e-mails between Plaintiff and L2 Counsel support that it agreed to hold his signature to the employment agreement and all other relevant documents such as "Exhibit A" in escrow. (Kovacic Decl. at ¶ 6, Exhibits D & E.) However, Plaintiff's own evidence and undisputed additional material facts support that L2 Counsel on behalf of doc.ai sent Plaintiff's "Exhibit A" to be attached to the employment agreement to Mr. Anderson of King & Spalding on behalf of Sharecare on January 26, 2021. (Ackerman Decl., Volume 4: Exhibit A – "Exhibit 17": E-mail with Exhibit A Attachment from N. Allen to J. Anderson dated 1/26/21.) Thus, this evidence refutes Plaintiff's allegations that L2 Counsel failed to transmit "Exhibit A." While Plaintiff can establish a duty of care can be imputed to doc.ai as a result of L2 Counsel's obligations as an escrow holder, the evidence does not raise triable issues of fact with respect to breach. Rather, the evidence submitted by Plaintiff supports that L2 Counsel carried out the instructions of the escrow by transmitting his "Exhibit A" with his signed version of the employment agreement.

Accordingly, the Court GRANTS summary adjudication of Plaintiff's sixth cause of action for negligence against doc.ai.

The Court GRANTS summary adjudication of the seventh cause of action for breach of contract against doc.ai.

Plaintiff's seventh cause of action is breach of contract against doc.ai. Plaintiff alleges that L2 Counsel's failure to follow instructions to transmit "Exhibit A" as part of the January 25, 2021 agreement constitutes breach of contract. (SAC at ¶¶ 59-60.) Doc.ai argues instructions in an e-mail do not create contractual obligations. (MSJ/MSA at p. 26:5-23.) Plaintiff responds that Natasha Allen of L2 Counsel "breached her duty of care and her 'contract' to act as the escrow holder" with respect to "Exhibit A" and Plaintiff's signature page. (Opposition at p. 19:1-20:16.)

"Violation of an escrow instruction gives rise to an action for breach of contract[.]" (*Wasmann, supra*, 202 Cal.App.3d at p. 756 [citing *Claussen, supra*, 186 Cal.App.3d at p. 435].) It may be argued that Plaintiff was an intended third-party beneficiary of the contract created by the written instructions to L2 Counsel. However, for the same reasons stated above, Plaintiff cannot establish his claim for breach of the escrow instructions because the evidence

as well as Plaintiff's undisputed additional material facts support that L2 Counsel on behalf of doc.ai transmitted Plaintiff's "Exhibit A" alongside the employment agreement to King & Spalding on behalf of Sharecare on January 26, 2021. (Ackerman Decl., Volume 4: Exhibit A – "Exhibit 17": E-mail with Exhibit A Attachment from N. Allen to J. Anderson dated 1/26/21.) Thus, even if the escrow instructions can be regarded as a contract, Plaintiff's own evidence does not establish breach on the part of doc.ai, acting through L2 Counsel.

Accordingly, the Court GRANTS summary adjudication of the seventh cause of action for breach of contract alleged against doc.ai.

The Court DENIES summary adjudication of the eighth cause of action for rescission against both Sharecare and doc.ai.

Plaintiff's eighth cause of action is rescission. Plaintiff alleges that he was never provided with any notice of an altered agreement deleting reference to his outside activities memorialized through "Exhibit A." (SAC at ¶ 63.) Plaintiff further alleges that his signature page was attached to the altered employment agreement without his knowledge or consent. (Ibid.) Likewise, Plaintiff signed the waiver agreement with doc.ai in consideration for his employment agreement with Sharecare, Inc. (SAC at ¶ 64.) Plaintiff alleges that as there was never an employment agreement with Sharecare, "there is a material failure of consideration entitling Mr. Kovavic to rescind the waiver agreement and have restored to him the right to accelerate and exercise his stock options with doc.ai under the terms of the Stock Options Agreement dated December 20, 2018 with doc.ai." (Ibid.)

Defendants argue there is no evidence that the employment agreement with Sharecare was consideration for the waiver with doc.ai and that doc.ai was required to obtain waivers from all three option-holders regardless of whether they entered into an employment agreement with Sharecare. (MSJ/MSA at pp. 20:12-21:2.) Plaintiff clarifies he is entitled to rescission of all transaction-related contracts such as the waiver. (Opposition at p. 3:19-22.) Plaintiff argues he should be restored to the position he immediately held prior to the January 25, 2021 contract. (See *ibid.*)

Rescission is defined by the Civil Code. As stated by the Court of Appeal:

Section 1688 provides that "A contract is extinguished by its rescission." "[A] party to a contract cannot rescind at his pleasure, but only for some one or more of the causes enumerated in section 1689 of the Civil Code." [Citation.] "Rescission" is a "retroactive termination" of a contract, as compared to "cancelation," which is a "prospective termination." [Citation.] "The consequence of rescission is not only the termination of further liability but also the restoration of the parties to their former positions by requiring each to return to whatever consideration has been received." [Citations.]

(*Nmbpcslhdb v. County of Fresno* (2007) 152 Cal.App.4th 954, 959-960 [footnote omitted].)

Civil Code section 1689, subdivision (b), provides the grounds upon which a contract may be rescinded including, if "the consent of the party rescinding, or of any party jointly contracting with him was given by mistake, or obtained through duress, menace, fraud, or undue influence, exercised by or with the connivance of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party." Civil Code section 1691 provides that "to effect a rescission a party" must "promptly" "give notice of rescission" and "restore" or "offer to restore" to the other party "everything of value" received.

A party may enforce a “rescission for a unilateral mistake of fact where ‘the effect of the mistake is such that enforcement of the contract would be unconscionable,’” or where “the other party knew of the mistake or caused the mistake.” (*Donovan v. Rrl Corp.* (2001) 26 Cal.4th 261, 281; Rest.2d Contracts, § 153, subd. (a).)

“Innocent misrepresentation, though not specifically enumerated as a ground for rescission under Civil Code section 1689, has been held to be a type of mistake under subdivision (b)(1) of that section and hence a ground for rescission.” (*Guthrie v. Times-Mirror Co.* (1975) 51 Cal.App.3d 879, 890.)

A defrauded party has the right to rescind a contract, even without a showing of pecuniary damages, on establishing that fraudulent contractual promises inducing reliance have been breached. [Citations.] The rule derives from the basic principle that a contracting party has a right to what it contracted for, and so has the right “to rescind where he obtain[ed] something substantially different from that which he [is] led to expect.”

(*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 979 [citing, *inter alia*, Rest.2d Contracts, § 154].)

As an initial matter, the Court distinguishes between breach of contract and rescission. A claim for breach of contract affirms an agreement; whereas, rescission is a remedy that disaffirms the agreement. (*Sharabianlou v. Karp* (2010) 181 Cal.App.4th 1133, 1145.) A plaintiff is permitted to plead inconsistent or alternative counts. (*Skelly v. Richman* (1970) 10 Cal.App.3d 844, 856.) Plaintiff may elect which theory he wishes to proceed with upon a jury’s affirmance or disaffirmance of the contract. As determined by the Court above, triable issues of fact exist as to whether there is mutual assent between the parties. In the event a jury finds no contract exists, the employment agreement may be considered void and Plaintiff may seek to pursue remedies by way of this cause of action for rescission.

Plaintiff also seeks rescission of other transaction-related contracts such as the waiver. Defendants argue the waiver was not a precondition of employment and offer evidence that individuals not later employed by Sharecare also had to sign the waiver. However, as noted, Plaintiff’s testimony was that he would not have signed the employment agreement unless it permitted him to engage in outside activities. (SSUMF No. 3; Perigoe Decl., Volume 1, Exhibit 3: Kovacic Depo. at p. 103:9-12; SAC ¶ 5; Ackerman Decl., Volume 6, Exhibit C: Excerpts of the deposition of Greg Kovacic taken May 22, 2024.) Therefore, it is conceivable that he may not have signed the waiver. In any event, triable issues remain as to whether Plaintiff could have exercised single acceleration options under the November 30, 2020 resolution. (SSUMF Nos. 30, 32, 100, 102.) The waiver explicitly pertained to double acceleration under the December 20, 2018 grant. (SSUMF Nos. 31, 101.)

Plaintiff seeks to be restored to his position prior to the January 25, 2021 agreement before the merger happened. Here, there are triable issues as to whether the employment agreement was procured through fraud. Even if a jury finds Plaintiff was not fraudulently induced into the employment agreement, the evidence at least raises triable issues as to whether the agreement was executed in mistake by way of an innocent misrepresentation. Doc.ai through its counsel transmitted Plaintiff’s “Exhibit A” containing his list of outside activities to counsel for Sharecare, King & Spalding. Although Mr. Anderson testified that he did not read the e-mail, he was still copied on it, and therefore, still had notice of Plaintiff’s list of outside activities. (Ackerman Decl., Volume 4: Exhibit A – “Exhibit 17”: E-mail with Exhibit A Attachment from N. Allen to J. Anderson dated 1/26/21; (Perigoe Decl., Volume 1: Anderson Depo. at pp. 92:10-93:16, 94:1-5, Exhibit 17.) It is undisputed that Plaintiff was not informed of the changes to this material term of the agreement until he was terminated. (SSUMF Nos. 6, 15, 24; AUMF No. 123.)

Plaintiff was terminated for cause because he engaged in outside activities, which is a disputed material term of the employment agreement. There are disputed issues as to whether Plaintiff obtained something substantially different than what he was led to expect. Thus, the evidence shows triable issues of material fact exist with respect to rescission of the employment agreement as well as other transaction-related documents, such as the waiver, that would allow Plaintiff to be restored to his position had the merger and the execution of these documents not occurred.

Accordingly, the Court DENIES summary adjudication of the eighth cause of action for rescission.

The Court GRANTS summary adjudication of the ninth cause of action for equitable estoppel against Sharecare.

Plaintiff's ninth cause of action is equitable estoppel. Plaintiff's claim is premised on the same facts alleged with respect to the tort claims. (See SAC at ¶¶ 69-70.) In addition to the arguments made as to the tort claims, Sharecare argues summary adjudication of the equitable estoppel claim must be granted because it cannot be asserted as an independent cause of action. (MSJ/MSA at pp. 24:19-25:4.) Plaintiff does not address the equitable estoppel claim in opposition.

In *Moncada v. West Coast Quartz Corp.* (2013) 221 Cal.App.4th 768, 782, the Sixth District Court of Appeal noted:

Equitable estoppel in pais, and also called estoppel by conduct, is simply stated. 'Whenever a party has by his or her own statement or conduct, intentionally and deliberately led another to believe a particular thing true and to act upon such belief, he is not, in any litigation, arising out of such statement or conduct, permitted to contradict it.' [Citations.] The doctrine is defensive in nature only, and 'operates to prevent one [party] from taking an unfair advantage of another.' [Citation.]" [Citation.]

In *Behnke v. State Farm General Ins. Co.* (2011) 196 Cal.App.4th 1443, the court reiterated that California does not recognize an independent cause of action for equitable estoppel: "[A]s Witkin . . . explains, ' "[t]he equitable estoppel doctrine acts defensively only." ' (13 Witkin, Summary of Cal. Law [(10th ed. 2005)] Equity, § 190, p. 527; see also *Central National Ins. Co. v. California Ins. Guarantee Assn.* (1985) 165 Cal.App.3d 453, 460 [equitable estoppel 'must be pleaded . . . either as a part of the cause of action or as a defense'].) As a stand-alone cause of action for equitable estoppel will not lie as a matter of law . . ." (*Id.* at p. 1463.)

Accordingly, the Court GRANTS Plaintiff's motion for summary adjudication of the ninth cause of action for equitable estoppel, because it cannot lie as a stand-alone cause of action.

The Court will prepare the Order.

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